

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 32
JUDICIAL OFFICER: JONI T HIRAMOTO
HEARING DATE: 03/27/2026

ALL APPEARANCES WILL BE BY ZOOM.

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties
EMAIL THE DEPARTMENT at dept32@contracosta.courts.ca.gov to request argument and
SPECIFY THE ISSUES to be argued.

Counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of his or her intention to appear and of the issues to be argued.

Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Local Rule 3.43(2).)

CourtCall will **NOT** be used by D32.

Zoom is approved for all hearings except Issue Conferences and Trials.

Dept. 32's telephone number is: (925) 608-1132.

Dept. 32's email address is: dept32@contracosta.courts.ca.gov.

Submission of Orders After Hearing in Department 32 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Zoom hearing information

[https://contracosta-courts-
ca.zoomgov.com/j/1613360625?pwd=pSvvmR75t9Q2H5zOgagi9rbG4xeTUM.1](https://contracosta-courts-ca.zoomgov.com/j/1613360625?pwd=pSvvmR75t9Q2H5zOgagi9rbG4xeTUM.1)

Meeting ID: 161 336 0625

Passcode: 180770

Law & Motion

1. 9:00 AM CASE NUMBER: C22-02435
CASE NAME: BANK OF AMERICA N.A. VS. JAMES WULFSBERG
*HEARING ON MOTION IN RE: SET ASIDE DISMISSAL AND ENTER JUDGMENT UNDER STIPULATION
FILED BY: BANK OF AMERICA N.A.
TENTATIVE RULING

The Plaintiff's unopposed motion to vacate dismissal as to James T. Wulfsberg and enter judgment under terms of stipulated settlement, filed December 9, 2025, is **granted**. The court will sign the proposed order. The order will become effective upon service of notice of entry of order upon Defendant.

2. 9:00 AM CASE NUMBER: C23-02833
CASE NAME: DEBRA DRISCOLL VS. DOES 1 THROUGH 100, INCLUSIVE
***HEARING ON MOTION IN RE: TO SET ASIDE DEFAULT**
FILED BY: HOOVER FLOORS
TENTATIVE RULING:

The unopposed motion of Defendant Hoover Floors, DBA Hoover Carpet Cleaning (Defendant), filed January 6, 2026, to set aside the default entered on October 30, 2025 is **DENIED**.

The defendant is a business entity and may only appear in court through an attorney. A corporation is not a natural person, and therefore it cannot appear in an action *in propria persona*. It can only appear through counsel. *Merco Construction Engineers, Inc. v. Municipal Court* (1978) 21 Cal. 3d 724, 731. Here the moving papers appear to have been submitted by an individual on behalf of Defendant itself, rather than by an attorney purporting to represent the Defendant. There is an exception in the law to allow officers and directors of a corporation to appear in small claims cases. However this is an unlimited civil action and the Defendant may appear only through an attorney. The default remains in place.

3. 9:00 AM CASE NUMBER: C23-03249
CASE NAME: AHARON POLIKER VS. INSULATION GURU, INC DBA HVAC GURU
***HEARING ON MOTION IN RE: LEAVE TO FILE 1ST AMENDED COMPLAINT /PROOF OF NOTICE OF MOTION**
FILED BY: Plaintiff Aharon Poliker
TENTATIVE RULING

Plaintiff's unopposed motion for Leave to File a First Amended Complaint is **denied without prejudice**.

Plaintiff filed a motion for Leave to File a First Amended Complaint was filed in this matter on June 5, 2025. Hearing was set for October 3, 2025.

On October 3, 2025, hearing on this motion was continued from October 3, 2025 to January 23, 2026 for lack of notice to Defendants.

On November 14, 2025, Plaintiff/Cross-Defendant Aharon Poliker filed a document purporting to be a notice of motion. The pleading was styled, "Plaintiff / Cross-Defendant AHARON POLIKER'S NOTICE IN SUPPORT OF THEIR MOTION FOR LEAVE TO FILE FIRST AMENDED COMPLAINT." The face of the notice contained the date and time and department where the motion would be heard. However, the notice failed to state "the

grounds upon which the motion would be made and the papers, if any, upon which it is to be based," as required by CCP § 1010. Instead of a code compliant notice, the document erroneously attached a copy of the court's tentative ruling from a hearing held on January 6, 2025.

On January 23, 2026, this court ordered the Plaintiff to re-serve all parties with the notice of motion,

motion and all the papers upon which the motion is based. The Plaintiff's motion for Leave to File a First Amended Complaint was continued for a third time on the court's motion to March 27, 2026 at 9:00 a.m., Department 32.

As of March 26, 2026, Plaintiff has failed to file proof of service of all moving papers in support of the Motion for Leave to File a First Amended Complaint on the Defendants. The motion is denied on due process grounds, *i.e.*, failure to give the defendants notice and an opportunity to be heard, by failing to serve a code compliant notice of this motion on the Defendants.

PARTIES ARE TO TAKE NOTICE THAT NEXT CASE MANAGEMENT CONFERENCE IN THIS MATTER IS SET FOR APRIL 23, 2026, AT 8:30 A.M. IN DEPARTMENT 32. ALL PARTIES ARE TO FILE AND SERVE UPDATED CASE MANAGEMENT CONFERENCE STATEMENTS AT LEAST 10 CALENDAR DAYS IN ADVANCE OF APRIL 23, 2026.

4. 9:00 AM CASE NUMBER: C24-01208
CASE NAME: DOMONIQUE MEJIA VS. DA'TONJA RAMIREZ
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: MAINSTREAM ESCROW, INC.

TENTATIVE RULING:

On the Court's own motion, the hearing is continued to **9:00 a.m. on April 10, 2026.**

5. 9:00 AM CASE NUMBER: C24-01956
CASE NAME: JAMES MARITIME HOLDINGS, INC. VS. MATTHEW MATERAZO
***HEARING ON MOTION IN RE: LEAVE TO FILE AND AMENDED ANSWER AND FILE CROSS COMPLAINT**
FILED BY: MATERAZO, MATTHEW C.

TENTATIVE RULING:

Introduction

Before the Court is Defendant Matthew C. Materazo's ("Defendant")'s Motion for Leave of Court to Amend Answer and file two Cross Complaints. Defendant filed this motion on December 12, 2025. The Motion is opposed by Plaintiffs James Maritime Holdings, Inc. and Gladiator Solutions Inc.

Defendant Materazo seeks leave to file Exhibit A, an Amended Answer and seven crossclaims relating to Plaintiffs James Maritime Holdings, Inc. and Gladiator Solutions Inc. in the same document, as well as Exhibit B, a Cross-Complaint involving eleven new defendants containing eight causes of action.

The Court is unable to grant the motion at this time due to the procedural defects outlined below. As explained below, **the Court continues this motion to provide Defendant time to comply with the mandatory rules and statutes described in the Court's ruling. The Motion is continued to July 31, 2026, at 9:00 a.m. in Department 32. Defendant's papers are due 14 court days before the hearing**

and Plaintiffs' opposition, if any, are due 9 court days before the hearing.

Summary of Facts

The parties agree that this case concerns three parties and two narrow issues: whether Defendant Matthew Materazo ("Defendant") breached his fiduciary duties and is personally liable for merchant cash advance ("MCA") loans he took out under the name of Plaintiff Gladiator Solutions, Inc. ("Gladiator"), and whether Plaintiff James Maritime Holdings, Inc. ("Plaintiff" or "JMH") is entitled to cancel 500,000 shares of its company that were issued to Defendant as part of a 2021 Share Exchange Agreement. (Motion, Ex. B, ¶ 2 on p. 2; See also Opposition at p. 1: 2-12.)

Procedural Posture

In 2025, the Parties engaged in approximately five discovery disputes, four case management conferences and a failed challenge of the initial pleading.

For 2026, there are approximately three law and motion matters and a further case management conferences scheduled. No trial date has been set.

Legal Standard

It is well-established under California law that leave to amend is to be granted liberally, to accomplish substantial justice for both parties. (CCP § 473(a); *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 488-89.) Indeed, "it is a rare case in which a court will be justified in refusing a party leave to amend his [or her] pleading so that he [or she] may properly present his [or her] case." (*Douglas v. Superior Court* (1989) 215 Cal.App.3d 155, 158.) "If the motion to amend is timely made and... granting...the motion will not prejudice the opposing party, it is error to refuse permission to amend." (*Morgan v. Sup. Ct.* (1959) 172 Cal.App.2d 527, 530.)

It is also a well-known policy of the law to permit amendments of pleadings liberally in order that litigation may be tried on its merits. (*Cardenas v. Ellston* (1968) 259 Cal App. 2d 232.) Courts are liberal in allowing amendments of complaints in order that, if possible, no litigant will be deprived of his day in court because of mere technicalities of pleading. (*Barr v. Carroll* (1954) 128 Cal. App. 2d 23.)

Where a proposed cross-complaint is compulsory — arising out of the same transaction as the plaintiff's claim — leave must be granted so long as the defendant is acting in good faith. (CCP § 426.50.)

Where a defendant seeks leave to file a permissive cross-complaint against the plaintiff, courts are generally inclined to grant leave unless doing so would interfere with the trial date or otherwise prejudice the action. (Weil & Brown, California Practice Guide: Civil Procedure Before Trial, ¶ 6:564 (Rutter Group).) But where, as here, a defendant seeks leave to file a cross-complaint against a third person not yet a party to the action, a greater showing of interest of justice is required. In this third category, the court is specifically concerned that the cross-complaint not unreasonably burden and complicate the plaintiff's lawsuit with new cross-actions and new third parties. (*Id.* at ¶ 6:565.)

Analysis

Exhibit A Amended Answer and Cross Claims are Procedurally Defective

Defendant Materazo's Exhibit A Amended Answer and Cross Claims is procedurally defective in two respects.

Cross Complaints and Answers Must Be Separate Documents

First, “[t]he cross-complaint shall be a separate document.” (Code Civ. Proc., § 428.40.) Exhibit A improperly combines Defendant Materazo’s Amended Answer and his Cross Claims against Plaintiff Gladiator Solutions, Inc. and James Maritime Holdings, Inc. (See Exhibit A pp. 1 and 9.)

The Amended Answer Did Not Comply with CRC Rule 3.1324

Second, Rule 3.1324(a) requires that a motion to amend must identify every proposed deletion and addition by page, paragraph, and line number. Defendant has filed a proposed amended pleading and asked the Court to approve it. This is insufficient and Defendant must comply with the applicable rules.

Rule 3.1324(b) requires a supporting declaration specifying: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) why the request was not made earlier. Defendant Materazo’s declaration explained when the facts giving rise to the amendment were discovered and why the request was not made earlier, but the declaration did not touch on the effect of the amendment or why the amendment was necessary and proper. (See Materazo Declaration ¶¶ 3-7, Addendum 1 to Motion for Leave to Amend.) Defendant must address the effect of the amendment or why the amendment was necessary and proper.

Exhibit B Cross Complaint Arises Out of the Same Transactions or Occurrences as the Complaint

Defendant argues that the Cross-complaint with all the new parties with potential liability in Exhibit B arises from the same transactions or occurrences in this case. (Motion at p. 7: 12-15.) Defendant explains that the basis of the Exhibit B Cross-complaint is the 2021 negotiations between Elliot Foxcroft and Defendant Materazo for the sale of all Defendant Materazo’s shares of Plaintiff Gladiator in exchange for liquid stock at a higher valuation and a two-million-dollar infusion into Plaintiff Gladiator by Plaintiff James Maritime Holdings while Defendant Materazo continued to run Plaintiff Gladiator. (Motion at p. 7: 16-21.)

Plaintiffs James Maritime Holdings and Gladiator contend that Defendant’s Exhibit B does not arise out of the same transaction or occurrences because the promises alleged in Exhibit B are not in the 2021 Share Exchange Agreement, Exhibit B does not mention the integration in the 2021 Share Exchange Agreement, and that Defendant’s liability for the MCA loans is governed by specific contractual provisions in the Share Exchange Agreement which is unrelated to the other issues Defendant brought up in Exhibit B such as but not limited to whether Plaintiff’s public filings with the Securities and Exchange Commission contain material misrepresentations or omissions, or whether the acquisition of Defendant’s company was induced by fraudulent misrepresentations made in 2021.

Comparing the operative Complaint and Exhibit B it appears that both purport to arise out of the 2021 Share Exchange Agreement. The Complaint seeks to hold Defendant personally liable for MCA loans and claw back or cancel shares according to the Share Exchange Agreement. (Complaint at ¶¶ 7-21.) Exhibit B largely alleges that Defendant Materazo was fraudulently induced into the Shared Exchange Agreement and was a victim of breaches of contract and fiduciary duties. (Exhibit B at pp. 17-21.) Allegations of both pleadings are centered around the 2021 Share Exchange Agreement.

Greater Showing of Interest of Justice for a Cross Complaint against Third Parties

Plaintiffs' further argue that Defendant cannot make the greater showing of interest of justice required for a cross-complaint against third parties. (Opposition at p. 8: 6-10.) Plaintiffs rely on a citation from the Rutter Group Practice Guide for their position. However, the proposed Cross-Complaint involves the same business relationship and dealings as alleged in Plaintiff's Complaint; thus, the Cross-Complaint will not unreasonably burden or complicate Plaintiff's lawsuit. (*See Garcia v. Roberts* (2009) 173 Cal.App.4th 900, 910 [ordinarily, no prejudice will result from an amendment that is based on the same general set of facts].)

Plaintiff Must Combine His Crossclaims in Exhibit 1 with his Cross-Complaint in Exhibit B

Courts must be able to manage their dockets consistent with the demands of all matters pending before them and in such a way as to provide broad access to justice. Courts have "inherent equity, supervisory and administrative powers" to "control litigation before them" and these powers "are derived from the state Constitution and are not confined by or dependent on statute." (*Cottle v. Superior Court* (1992) 3 Cal.App.4th 1367, 1377.) Pursuant to these inherent powers, courts have been permitted to "fashion[] new forms of procedures when required to deal with the rights of the parties and to manage the caseload of the court." (*Id.* at p. 1377.)

To limit confusion and promote clarity, Plaintiff shall combine his proposed Cross Claims included in Exhibit 1 with his proposed Cross-Complaint in Exhibit B.

Conclusion

The Court is unable to grant this motion at this time due to the procedural defects outlined above. As analyzed above, **the Court continues this motion to provide Defendant time to comply with the mandatory rules and statutes described in the Court's ruling. The Motion is continued to July 31, 2026, at 9:00 a.m., Department 32. Defendant's papers are due 14 court days before the hearing and Plaintiffs' opposition, if any, are due 9 court days before the hearing.**

6. 9:00 AM CASE NUMBER: C24-02519
CASE NAME: SALLY NICHOLS, S.A. VS. COLLINS & ASSOCIATES, LLC
*HEARING ON MOTION IN RE:
FILED BY: NICHOLS, S.A., SALLY ANN
TENTATIVE RULING:

The **Plaintiffs'** unopposed motion to set aside the defaults taken against Defendants Collins & Associates, LLC and Cecil Andrew Collins is granted for good cause shown. **Plaintiffs** must file an amended complaint within ten days of this order.

7. 9:00 AM CASE NUMBER: C24-02701
CASE NAME: ALYSS DORESE VS. AIDEN CIANI
*HEARING ON MOTION IN RE: EXPUNGE THE NTC OF LIS PENDENS
FILED BY:
TENTATIVE RULING:

Defendant Aidan Ciani's motion to expunge the lis pendens recorded on December 31, 2025

is **denied as moot**. The finds that Ciani is the prevailing party, but he has not provided evidence of allowable fees or costs.

On October 8, 2024, Plaintiff Dorese filed a complaint against Defendant Aiden Ciani for various landlord-tenant related torts, including breach of the warranty of habitability and related causes of action, a rent increase in violation of the Richmond Rent Control Ordinance and retaliation. Dorese alleges that she had a residential tenancy for a property in Richmond starting in 2007.

On December 31, 2025, Dorese recorded a lis pendens on the property. Ciani filed this motion to expunge the lis pendens on January 15, 2026, as a self-represented party. Dorese recorded a notice of withdrawal of the lis pendens on February 5, 2026. Dorese recorded a second lis pendens on the property on January 27, 2026. However, that lis pendens references a different case, *Dorese v. Ciani*, C26-00167.

Since Dorese withdrew the lis pendens that is the subject of the motion, the request to expunge is moot. However, the Court must still consider the issue of attorney fees and costs. “[T]he withdrawal of a lis pendens while a motion to expunge is pending does not automatically preclude recovery of attorney fees to the moving party. Rather, we adopt a practical approach to determine the prevailing party based on the trial court’s determination of which party realized its objectives in the proceeding. Such a determination requires the trial court to consider the merits of the motion, and whether the lis pendens claimant acted with substantial justification in withdrawing the lis pendens, or whether, in light of all of the circumstances, the imposition of fees would otherwise be unjust.” (*Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1014; see also Code of Civil Procedure section 405.38 [prevailing party entitled to fees and costs].)

A motion to expunge a lis pendens can be based upon a finding “that the pleading on which the notice is based does not contain a real property claim” or where “the claimant has not established by a preponderance of the evidence the probable validity of the real property claim”. (Code of Civil Procedure sections 405.31 and 405.32.) Ciani moved on both grounds.

A “ ‘Real property claim’ means the cause or causes of action in a pleading which would, if meritorious, affect (a) title to, or the right to possession of, specific real property or (b) the use of an easement identified in the pleading, other than an easement obtained pursuant to statute by any regulated public utility.” (Code Civ. Proc., § 405.4.) When determining if the complaint involves a real property claim, “the court must engage in a demurrer-like analysis. ... [R]eview of an expungement order under section 405.31 is limited to whether a real property claim has been properly pled by the claimant. [Citations.]” (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647-648.)

Looking at the merits of the motion, the original complaint did not seek possession or title to the property and thus, no real property claim alleged was this case. Dorese argues that recent facts have changed, but she did not amend her complaint before the December 2025 lis pendens was recorded. The Court also notes that it has not reviewed the new complaint filed by Dorese to determine whether that complaint states a real property claim because that issue is not presently before the Court.

Following *Castro*, the Court finds that the motion to expunge was meritorious and after it was filed, Dorese withdrew the lis pendens. Given this situation, Ciani is the prevailing party on this motion. Further, Plaintiff did not have substantial justification to record a lis pendens in this case, based upon the complaint as presently alleged.

Here, Ciani seeks \$360 in paralegal expenses and \$2,100 to compensate Ciani for the time he spent preparing this motion. As a self-represented party, the Court cannot award Ciani fees for his work on this motion. (*Trope v. Katz* (1995) 11 Cal.4th 274, 285.) Paralegal fees are sometimes recoverable as part of an attorney fee award, but when award such fees it is done in connection with the services of an attorney. (See *Guinn v. Dotson* (1994) 23 Cal.App.4th 262, 269; *Roe v. Halbig* (2018) 29 Cal.App.5th 286, 312.) Without an attorney to supervise them, paralegals can still assist with some tasks such as filing and formatting documents. (See, Bus & Prof Code § 6450 [paralegals cannot provide legal advice, among other limitations].) It is not clear from Ciani's declaration what tasks the paralegal assisted with and therefore, the Court cannot determine if they are recoverable as costs.

Defendant Ciani is ordered to file and serve submit a supplemental declaration detailing whether the paralegal spent any time on filing or formatting documents, and how much time was spent on those tasks. That declaration must be filed and served on or before noon on April 10, 2026. Plaintiff may file and serve objections to this declaration on or before noon on April 24, 2026. The motion is declined as moot, but the court will take the matter of costs for paralegal work under submission.

8. 9:00 AM CASE NUMBER: C25-01064
CASE NAME: WILTON SHORT VS. FRANKLIN CREDIT MANAGEMENT CORP.
***HEARING ON MOTION IN RE: FOR PLAINTIFF TO FILE SECOND AMENDED COMPLAINT**
FILED BY: SHORT, WILTON C
TENTATIVE RULING:

At a Case Management Conference with the parties on March 10, 2026, the court moved the hearing on Defendants' Demurrer to the First Amended Complaint in this matter to June 5, 2026.

The court on its own motion moved the hearing on Defendants' Demurrer to the First Amended Complaint from June 5, 2026 to July 24, 2026 at 9:00 a.m. due to the unavailability of the Court on June 5, 2026.

On March 10, 2026 the court was unaware of the Plaintiff's instant motion to file a Second Amended Complaint, which was filed on September 18, 2025 and eventually set for hearing on March 27, 2026.

Although this motion is unopposed, there does not appear to be a proof of service of the moving papers on Franklin Credit Management Corp. nor on Bosco Credit LLC.

Due to the potential for inconsistency and inefficiency in having these motions heard on different dates, the court on its own motion moves the hearing on the Plaintiff's motion to file a Second Amended Complaint to July 24, 2026 at 9:00 a.m. in Department 32. Plaintiff is ordered to serve all defendants with notice of motion, motion, memorandum of points and authorities, declaration[s] in

support of motion and proposed order, and file proof of service of these moving papers on or before June 12, 2026.

9. 9:00 AM CASE NUMBER: C25-01418

CASE NAME: LAUREL EVANS VS. ABE WORTMAN

HEARING ON ORDER TO SHOW CAUSE IN RE: COUNSEL: MICHAEL A. DUBLIN, SET BY THE COURTROOM WHY MONTEARY SANCTIONS UP TO \$1,000.00 SHOULD NOT BE IMPOSED
FILED BY:

TENTATIVE RULING:

NOTICE: This decision contains fabricated quotations in the original text of the opinion. They are relevant to the decision and therefore have not been editorially corrected.

On February 13, 2026, the court heard and issued a ruling on a demurrer in this matter. On March 9, 2026, the court on its own motion issued an order to Michael A. Dubin, counsel for Plaintiff, to appear on Friday, March 27, 2026 at 9:00 a.m. in Department 32 (remote appearance is acceptable) and show cause if cause there be, why monetary sanctions of up to \$1000 should not be imposed; why counsel should not be directed to serve a copy of the court's order to show cause describing problems with cases cited to the court to his client; and why the clerk of the court should not similarly be directed to serve a copy of the final order on this OSC to the State Bar, for submitting non-existent and misleading legal citations to the court in Plaintiff's Opposition to Defendant's Demurrer filed on February 2, 2026 in this lawsuit. The court has read and considered Counsel Dubin's five-page declaration, submitted in response to the OSC.

Reasons for the OSC: false and misleading citations to the Court

In Plaintiff's Opposition to the Demurrer at page two, Plaintiff referenced "*Besser v. Walsh* (1990) 222 Cal.App.3d 619, 624," for the proposition that this issue is a fact intensive inquiry and "not readily susceptible to determination on demurrer." The court notes that it was unable to locate the *Besser* citation as an actual case.

After its citation to *Besser*, Plaintiff continued, "Even conclusory alter ego allegations are sufficient to survive demurrer if they give notice of the theory of liability. (*Doe v. Unocal Corp.* (2000) 27 Cal.4th 1099, 1109; *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415.)" (Opposition, page two.)

The Court was similarly unable to locate the *Unocal* citation. The court also notes that the opinion in *Leek* case does not stand for the stated proposition. The Court in *Leek* held that the allegations of alter ego liability were *insufficiently* plead.

Rule 3.3 of California Professional Rules of Conduct, "Candor to the Tribunal," provides in pertinent part:

(a) A lawyer shall not:

(1) knowingly* make a false statement of fact or law to a tribunal* ...

Business and Professions Code § 6068(d) states,

“It is the duty of an attorney to do all of the following: ...

(d) To employ, for the purpose of maintaining the causes confided to him or her those means only as are consistent with truth, and never to seek to mislead the judge or any judicial officer by an artifice or false statement of fact or law.

The Court notes also that Plaintiff’s citation to *Zoran Corp. v. Chen* (2010) 185 Cal. App. 4th 799, 811, for the proposition that “Courts routinely sustain alter ego allegations where, as here, plaintiffs plead specific facts showing domination, misuse of corporate funds, and inequitable conduct,” is unavailing because (1) that case was in the context of a summary judgment motion, and (2) the court at page 811 is merely listing factors that may constitute indication of alter ego liability. Citing the *Zoran* case for a proposition it did not support was problematic, especially in the context of citing two other cases that were found to be non-existent.

In *Noland v. Land of the Free, L.P.* (2025) 114 Cal. App. 5th 426, a unanimous panel of the Court of Appeal for the Second Appellate District held,

[R]elying on fabricated legal authority is sanctionable. As a district judge recently held when presented with nonexistent precedent generated by ChatGPT: “A fake opinion is not ‘existing law’ and citation to a fake opinion does not provide a non-frivolous ground for extending, modifying, or reversing existing law, or for establishing new law. An attempt to persuade a court or oppose an adversary by relying on fake opinions is an abuse of the adversary system.” (citations omitted) *Noland, supra*, 114 Cal. App. 5th at 445.

The court has no direct evidence that counsel for Plaintiff used artificial intelligence (AI) to write the section of this brief at issue. But the citations to *Besser* and *Unocal* appear to be fabricated (that is, made up, non-existent), and counsel submitted them to the court. It is unclear whether counsel submitted them knowing they were non-existent, or counsel simply did not read the citations before submitting them. **Even the latter is problematic.** As the *Noland* court explained,

To state the obvious, it is a fundamental duty of attorneys to *read* the legal authorities they cite in appellate briefs or any other court filings to determine that the authorities stand for the propositions for which they are cited. Plainly, counsel did not read the cases he cited before filing his appellate briefs: Had he read them, he would have discovered, as we did, that the cases did not contain the language he purported to quote, did not support the propositions for which they were cited, or did not exist. (See *Benjamin v. Costco Wholesale Corp., supra*, 779

F.Supp.3d at p. 343 [“an attorney who submits fake cases clearly has not read those nonexistent cases, which is a violation of [the federal equivalent of § 128.7]”; ... Counsel thus fundamentally abdicated his responsibility to the court and to his client. (See *Kleveland v. Siegel & Wolensky, LLP* (2013) 215 Cal.App.4th 534, 559 [“It is critical to both the bench and the bar that we be able to rely on the honesty of counsel. The term “officer of the court,” with all the assumptions of honor and integrity that append to it, must not be allowed to lose its significance”].) (Emphasis in original, citation omitted.) *Noland, supra*, 114 Cal. App. 5th at 445.

In *Noland*, the court found that “nearly all” of the legal quotations in the plaintiff’s opening brief, and “many” of the quotations in the reply brief were fabricated. *Noland, supra*, 114 Cal. App. 5th at 430. In addition, “many of the cases plaintiff cites do not discuss the topics for which they were cited.” *Id.*, at 430.

The *Noland* court concluded, “Sanctions may be awarded to the respondent to compensate for the costs of responding to a frivolous appeal, or to the clerk of the court for conduct that unnecessarily burdens the court and the taxpayers.” *Nolan, supra*, 114 Cal. App. 5th at 447. Counsel in the Nolan case was sanctioned \$10,000 payable to the court, the attorney was directed to serve a copy of the court’s order on his client and the clerk of the court was directed to serve a copy of the court’s opinion on the State Bar.

Counsel’s Response to the OSC

Counsel Dubin admits he used AI in writing the opposition, admits the *Besser* and *Unocal* citations do not exist and are not valid authorities, and concedes that he “misapplied” the *Leek* and *Zoran Corp.* cases. He acknowledges that he remains solely responsible for the contents of the filing, including all citations, under the case law and rules of professional responsibility. To his credit, he calls this result “a serious mistake,” is embarrassed by it, and offer his sincere apology to the Court. Counsel Dubin has reviewed the *Noland v. Land of the Free, L.P.* (2025) 114 Cal. App. 5th 426 case and attests that he understands the seriousness of relying on inaccurate or non-existent authority and the requirement that he is responsible for independently verifying all citations before presenting them to the Court.

Counsel Dubin states that he has used AI in his legal practice in the past, and found it to be generally “efficient, time and cost saving for the clients, and helpful.” He acknowledges that he has identified and corrected numerous errors generated by these tools in the past, and understood they require “careful attorney oversight.” He states that this is the first time he has encountered entirely fabricated, *i.e.*, hallucinated, citations.

Counsel Dubin offers that this incident has heightened his awareness of these issues and represents that he has changed his use of this technology. He offers citations to other authorities in support of the argument he made in opposing the demurrer, and acknowledges that the Court independently evaluated the alter ego allegations and applied the correct legal standards (despite his submission of fabricated and misapplied citations).

Counsel Dubin offers that he had no intent to mislead the Court in any respect, and that this was not “deliberate conduct.”

Counsel Dubin has been practicing law since 1992, for over 30 years. He attests that he has never been sanctioned by any court and has not been subject to any disciplinary action. He states that he has consistently sought to uphold his duties as an officer of the court. He has served in fiduciary roles, including as *guardian ad litem* in probate court. He takes seriously his obligations of candor, diligence and professionalism. He offers that this is not reflective of his usual practice. He requests that the sanction be limited to monetary only and that no referral be made to the State Bar.

Ruling

Candor to the court is the most basic duty of an attorney. Although he claims never to have encountered a completely hallucinated citation in his past usage of AI, Counsel Dubin had an ethical duty to check for and correct problems with AI generated research and was on notice, when he employed it in this case, that it had the potential to produce fabricated results. He is not specific about what exact changes he is making in his use of this technology, but the basic and most appropriate solution--Shepardizing all cases cited before one submits them to the court--is a technique taught to all first year law school students. Indeed, even attempting to enter these problematic citations into a legal database would have indicated to Counsel Dubin that the hallucinated citations didn't exist. Merely reading the extant but “misapplied” citations would have indicated to Counsel Dubin within a matter of minutes that they did not stand for the proposition for which he proffered them.

Counsel argues this was not “deliberate” conduct. The court disagrees. While the court accepts Counsel Dubin's representation that he did not knowingly submit hallucinated or misrepresented citations to the court, the fact remains that he knowingly submitted the results of an AI search to the court without verifying the integrity of the results. The court finds that the mere submission of AI research without verifying the validity of the results is an ethical violation of an attorney's duty under Business and Professions Code § 6068(d) for it represents recklessness, *i.e.*, a conscious disregard of the risk of misleading the court. Counsel Dubin was on notice of problems with the results of AI generated research, but failed to confirm the integrity of his research when he submitted those hallucinated results to the court. He deliberately obtained potentially false citations and submitted unverified case citations to the court.

The fact that the court independently caught this problem and did not rely upon it in rendering its decision does not mitigate Counsel's conduct. Although opposing counsel's reply to plaintiff's Opposition was vigorous, it did not catch the fabricated and misleading citations. That these errors slipped past opposing counsel's review further underscores the insidious nature of the threat posed to the integrity of the legal profession and to the rule of law by the use of unverified AI. In its decision published in September of 2025, the *Noland* court noted,

In the past two years, many courts have confronted briefs populated with fraudulent legal citations resulting from attorneys' reliance on generative AI. ... Another court referenced a case citation that “has all the markings of a hallucinated case created by generative

artificial intelligence (AI) tools such as ChatGPT and Google Bard that have been widely discussed by courts grappling with fictitious legal citations and reported by national news outlets.” (*United States v. Hayes* (E.D. Cal. 2025) 763 F.Supp.3d 1054, 1065 (*Hayes*).) And yet another noted a plaintiff’s “false citations” that “appear to be hallmarks of an artificial intelligence (‘AI’) tool,” observing that “[i]t is now well known that AI tools ‘hallucinate’ fake cases.” (*Schoene v. Oregon Department of Human Services* (D.Or., July 18, 2025, No. 3:23-cv-742-SI) 2025 WL 2021654 (*Schoene*); see also *Hall v. Academy Charter School* [“The appearance of hallucinated citations in briefs generated from AI is no longer in its nascent stage. Regrettably, the number and regularity with which courts have been faced with hallucinations in court filings continues to rise”].)

Noland, supra, 114 Cal. App. 5th at 444.

Regrettably, this is not an obscure phenomenon. It is a growing and pernicious problem.

The *Noland* court imposed monetary sanctions against the offending counsel to be paid to the court rather than to the opposing counsel because in that case the opposing counsel did not alert the court to the fabricated citations. *Noland, supra*, 114 Cal. App. 5th at 448. The court finds that approach to be appropriate here, for the same reason. The court had to spend unnecessary hours discovering and analyzing the false citations, and in additional analysis of the arguments regarding the demurrer. The court orders Counsel Dubin to pay the \$1000 monetary sanction to the Superior Court within 30 days.

Counsel asks the court to limit its order to the imposition of monetary sanctions and points to his decades of discipline free practice as an attorney and his service in fiduciary roles. He asks that no referral be made to the State Bar.

Citation of falsified authority undermines the integrity of and threatens the foundation of the legal system. Canon 3D(2) provides:

Whenever a judge has personal knowledge, or concludes in a judicial decision, that a lawyer has committed misconduct or has violated any provision of the Rules of Professional Conduct, the judge shall take appropriate corrective action, which may include reporting the violation to the appropriate authority.

An attorney with years of discipline free practice of the law should be a shining example of integrity. As the court wrote in *Kleveland v. Siegel & Wolensky, LLP* (2013) 215 Cal. App. 4th, 534, 559, “It is critical to both the bench and the bar that we be able to rely on the honesty of counsel. The term “officer of the court,” with all the assumptions of honor and integrity that append to it, must not be allowed to lose its significance.” This court stands with its colleagues in *Noland v. Land of the Free, L.P.* (2025) 114 Cal. App. 5th 426, 449, in *Schlichter v. Kennedy* (2025) 116 Cal. App. 5th, 24, 34, and in *People v. Alvarez* (2025) 114 Cal. App. 5th 1115, 1119 (submission of non-existent authority in pleadings by a public defender), in making a referral to the State Bar under these circumstances. Pursuant to Business and Professions Code § 6086.7(a)(3), the clerk of the court is ordered to forward a copy of this opinion to the State Bar.

10. 9:00 AM CASE NUMBER: C25-02348
CASE NAME: TAMAR SAVAZIAN VS. HYUNDAI MOTOR AMERICA
*MOTION/PETITION TO COMPEL ARBITRATION
FILED BY: HYUNDAI MOTOR AMERICA
TENTATIVE RULING:

Defendant, Hyundai Motor America Corporation (“defendant” or “Hyundai”), moves the Court under both the California Arbitration Act (“CAA”) and the Federal Arbitration Act (“FAA”) to compel plaintiff to arbitrate the claims set forth in the complaint, and to stay this action pending the outcome of arbitration. Because Hyundai fails to establish an enforceable arbitration agreement exists between itself and plaintiff, the motion is **denied**, as discussed below.

I. Background

Plaintiff, Tamar H. Savazian, alleges that on November 11, 2022, plaintiff purchased a 2023 Hyundai Elantra. (Savazian Declaration in Support of Opposition, ¶13; Complaint, ¶18.) Plaintiff asserts that the vehicle was delivered with serious defects including, but not limited to electrical, structural, engine, emission, and suspension system defects. (Complaint, ¶10.) Plaintiff presented the vehicle for repairs on multiple occasions, but Hyundai was unable to conform the vehicle to the “applicable express warranty” after a reasonable number of repair attempts. (Complaint, ¶¶11-21, 35.) Plaintiff alleges the vehicle was not fit for its ordinary purpose because it was equipped with one or more defective systems or components. (Complaint, ¶46.) Plaintiff filed the present suit on August 18, 2025, alleging three causes of action under the Song-Beverly Act. In response, defendant filed this motion on December 4th.

Defendant’s motion invokes the arbitration provisions found in a purported “Owner’s Handbook & Warranty Information” and in a “Connected Services Agreement Terms and Conditions.” In support of its motion, defendant provides three declarations: (1) a declaration from counsel, Jennah Feeley, who attaches plaintiff’s complaint and defendant’s demand for arbitration (Exhibits 1 and 2, respectively), (2) a declaration from Vijay Rao, Director of Connected Ops & Owner Apps/Web, for Hyundai Motor America, Inc., who attaches as Exhibit B the “Connected Services Agreement Terms and Conditions” (aka “CSA” or “TNCID”) as well as other documents he asserts are related to plaintiff’s purported agreement to the terms and conditions, and (3) a declaration from Anthony Goel, a “Manager, Executive Case Management” at Hyundai, who attaches the “Owner’s Handbook & Warranty Information.” Goel states he is “familiar with [Hyundai]’s business practices as they relate to Hyundai vehicles” and that it is Hyundai’s practice to place an Owner’s Handbook in the glovebox of every vehicle sold through an authorized Hyundai dealership. (Goel Decl., ¶¶5, 7.) Goel further states that “after conducting a reasonable search of [Hyundai]’s records pertaining to arbitration opt-outs, plaintiff did not opt out of the Arbitration Agreement.” (Goel Decl., ¶15.)

Plaintiff opposes the motion, arguing defendant fails to show an agreement to arbitrate, that certain evidence is inadmissible, that the CSA does not cover the claims alleged, and that the purported agreements are unconscionable. In support of the opposition, plaintiff provides a declaration, as well as a declaration from plaintiff’s counsel. Plaintiff purports not to recall being “personally provided with a copy” of the Owner’s Handbook, and states that no one informed plaintiff about any arbitration provisions in the Owner’s Handbook or being required to opt out within thirty days.

On reply, Hyundai argues that it has met its evidentiary burden to show an arbitration

agreement, and that there is no merit to plaintiff's unconscionability defense. Hyundai also submits responses to plaintiff's evidentiary objections.

II. Evidentiary Matters

In support of the motion, Hyundai requests judicial notice of (1) plaintiffs' complaint, and (2) the "Hyundai 2023 Owner's Handbook and Warranty Information, Publication No. USAHYUNDAI-211025."

With respect to the complaint, the request is **granted**. With respect to the handbook, the request is **denied**. Hyundai does not state the purpose for its request. "Simply because information is on the Internet does not mean that it is not reasonably subject to dispute." (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.) Further, it is not at all clear that someone who sought to find this document through typical channels of internet research (via Hyundai's website or a Google search, for example) would be capable of finding it.

Plaintiff requests judicial notice of federal regulations and legislative history concerning the Magnuson-Moss Warranty Act. The request does not appear to be relevant to any argument made in the opposition. Accordingly, the request is **denied**.

Plaintiff's objections to the evidence provided by defendant in support of the motion are ruled on as follows: "Objection No. 3" (to paragraph 7 in the Rao Declaration stating plaintiff enrolled their vehicle in Bluelink services) is **sustained**. "Objection No. 4" (a hearsay objection to the CSA) is **overruled**.

III. Standard

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC, hereinafter "Pinnacle,"* (2012) 55 Cal.4th 223, 236.) In California, contract formation requires free and mutual consent communicated to each other. (Civ. Code, § 1565.) Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties. (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.)

"[A] court, before granting a petition to compel arbitration, must determine the factual issue of 'the existence or validity of the arbitration agreement. In this way, a court's role, though limited, is critical. There is indeed a strong policy in favor of enforcing agreements to arbitrate, but there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate and which no statute has made arbitrable.'" (*Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219-1220.)

Once the party seeking to compel arbitration has alleged the agreement exists, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Ibid.*) If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible

evidence a valid arbitration agreement between the parties. (*Ibid.*)

IV. Analysis

Defendant's motion contends there are two different arbitration agreements that compel arbitration here: that found in the Owner's Handbook (Goel Decl., Ex. F) and that found in the CSA Terms & Conditions, to which customers purportedly must agree in order to enroll in Bluelink services (Rao Decl. ¶16, Ex. B).

A. Owners Handbook

Hyundai asserts its "2023 Owner's Handbook & Warranty Information" contains an arbitration provision that binds plaintiff to arbitrate. Goel's declaration in support of the motion attaches the handbooks as Exhibit F. According to Goel, the handbook was included in the glovebox of the vehicle plaintiff "leased" because "[i]n California, all vehicles sold at authorized Hyundai dealerships include" the handbook. (Goel Decl., ¶15, Ex. F.) The handbook includes an arbitration agreement on page 12. (Goel Decl., Ex. F, p. 12-15.) While mentioned on page three's Table of Contents, the subheading mentioning arbitration ("BINDING ARBITRATION FOR CALIFORNIA VEHICLES ONLY") is not in bold like the primary headings and unless someone were looking for it, the provision would not be obvious. According to the terms of the arbitration agreement, an owner must affirmatively opt out of the arbitration agreement within 30 days or otherwise be bound. Goel represents that plaintiff did not opt out here and is therefore bound.

Notice is the touchstone for assent to a contract, and in order to establish mutual assent, there must be actual or constructive notice of the agreement. (*Marin Storage & Trucking, Inc. v. Benco Contracting & Engineering, Inc.* (2001) 89 Cal.App.4th 1042, 1049-1050.) A consumer is "not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 461.) "[I]n the absence of actual notice, a manifestation of assent may be inferred from the consumer's actions . . . but any such action must indicate the parties' assent to the same thing, which occurs only when the [provider] puts the consumer on constructive notice of the contractual terms." (*Sellers, supra*, 73 Cal.App.5th at 461; accord, *Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293-1294.)

No such notice has been shown here. In fact, plaintiff's declaration in support of the opposition challenges the existence of an agreement because no one showed plaintiff a copy of the warranty or otherwise informed plaintiff about an arbitration provision in the Owner's Handbook prior to the purchase. Nor did anyone advise plaintiff of the need to opt out of the arbitration provision within 30 days. (Savazian Decl., ¶¶4-5 ["prior to this Motion, I was completely oblivious to the post-sale "Arbitration Agreement" that is buried within the Owner's Handbook and Warranty Information booklet's approximately 50 pages."]) The declaration sufficiently challenges the existence of an agreement such that defendant must present admissible evidence to show such agreement exists.

Instead of providing evidence that would counter plaintiff's alleged lack of notice, Hyundai responds in reply that no evidence is necessary under *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215 and the California Rules of Court. While *Condee* and California Rules of Court, rule 3.1330, decrease the *initial* burden on a party moving to compel arbitration, the court in *Gamboa, supra*, 72 Cal.App.5th 158 explained the implications of that rule.

Quoting *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846, the court notes

that “[p]roperly understood, *Condee* holds that a petitioner is not required to authenticate an opposing party’s signature on an arbitration agreement as a *preliminary* matter in moving for arbitration or in the event the authenticity of the signature is not challenged.” (*Gamboa, supra*, 72 Cal.App.5th at 168.) The *Gamboa* court goes on to then describe a three-step burden shifting process. If the opposing party disputes the agreement with its own evidence, as plaintiff has done here, “then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (*Gamboa, supra*, 72 Cal.App.5th at 165-166.)

Neither the document itself, nor any other evidence, indicates delivery to, and acceptance by, plaintiff. While the Goel Declaration is sufficient to establish normal business practices of Hyundai dealerships (to leave the handbook in gloveboxes), Goel does not have any particular insight into what happened in this case. Goel repeatedly refers to plaintiff leasing the vehicle, which is not applicable here. The handbook may have been left in the glovebox, and may be available online at the Hyundai website, but its availability does not equate to plaintiff receiving a copy or knowing to look at the document prior to purchasing the vehicle.

Addressing Hyundai’s argument that equitable estoppel applies, there is a general rule that, “[w]hen a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.” (*JSM Tuscan, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239.) Here, however, plaintiff expressly denies reliance on the written terms of the warranty that appear in the handbook as the basis for plaintiff’s claims and instead argues the case is brought pursuant to the Song-Beverly Act. Because Hyundai has not definitively shown plaintiff was aware of the arbitration agreement, independent of any general awareness of the broader warranty (knowledge about which might have come through multiple sources), Hyundai fails to demonstrate how equitable estoppel would apply. This alleged lack of receipt/notice was not discussed in the reply papers.

Defendant fails to show, by a preponderance of the evidence, that plaintiff agreed to the arbitration provisions contained in the handbook.

B. Blue Link Connected Services Agreement

Hyundai submits the Connected Services Agreement as a second and independent grounds to compel arbitration here. The CSA is attached to the Declaration of Vijay Rao in support of the motion. (Rao Decl., ¶20, Ex. B.) Rao, Hyundai’s Director of Connected Ops & Owner Apps/Web, describes the process by which new Bluelink services enrollees activate the services through the Dealer-Assisted Enrollment process, like plaintiff here. Rao describes the process by which they agree to the then-effective CSA. (Rao Decl., ¶¶4-9, 18.) Using a “dealer-owned device, such as a tablet,” the customer enrolls in Bluelink with assistance from the dealer employee, who first creates an account for the customer and then associates the customer’s purchased car with that account. (Rao Decl., ¶8.) “The dealer then hands over control of the device to the customer to enter their personal details and review the Bluelink Terms and Conditions.” (*Id.* at ¶¶8-9.) Upon receiving the dealer-owned device, the customer must enter their personal details. They are then presented with a checkbox indicating acceptance of the Bluelink “Terms & Conditions.” The phrase “Terms & Conditions” is underlined and includes a hyperlink to the then-effective CSA in blue font. (*Id.* at ¶10.) To enroll in Bluelink services, plaintiff would have had to check the box to acknowledge that she “read and agree[d] to the Blue Link Terms & Conditions.” (*Id.* at ¶11.)

1) Whether Agreement Was Formed

In general, Courts applying California law have routinely found that "clickwrap" agreements may be enforceable under certain circumstances. (*Berman v. Freedom Fin. Network, LLC* (9th Cir. 2022) 30 F.4th 849, 856.) "Clickwrap" is an agreement "in which an internet user accepts a website's terms of use by clicking an 'I agree' or 'I accept' button, with a link to the agreement readily available." (*Sellers, supra*, 73 Cal. App. 5th at 463). Because they generally ensure that a contracting party must manifest "knowing consent" through an overt act, clickwrap agreements "are regularly enforced." Such agreements require the user to manifest assent to a website's terms of use by clicking an "I agree" or "I accept" button, with a link to the agreement readily available. (*Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1296, citing *Sellers, supra*, 73 Cal.App.5th at 463.)

Plaintiff enrolled the vehicle in Bluelink Services on November 11, 2022. (Rao Decl., ¶7.) This is supported by records from Hyundai's internal database that reflects facts related to plaintiff's enrollment and plaintiff fails to object to this evidence. (Rao Decl., Ex. A.) Plaintiff does not submit any evidence to dispute the authenticity of the CSA, or deny having assented to it.

The CSA contains a "Binding Arbitration" provision within subpart C. of Section 14, entitled "Resolving Disputes." This subpart C. includes the following within the section entitled "Arbitration Agreement":

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, ... the Vehicle, ... except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. ... This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law.

The evidence presented establishes, by a preponderance of the evidence, that plaintiff assented to the terms of the clickwrap CSA.

Plaintiff argues the scope of the arbitration agreement is limited, not covering the dispute here. "Whether parties have agreed to submit a particular dispute to arbitration is typically an issue for judicial determination. Where the dispute at issue concerns contract formation, the dispute is generally for courts to decide." (*Moritz v. Universal City Studios LLC* (2020) 54 Cal.App.5th 238, 246, citations omitted.) The CSA in which the arbitration agreement is contained generally relates to a vehicle owner's Bluelink services subscription and not the purchase of the vehicle. The Opposition points out that the CSA distinguishes between the "Connected Services" discussed in the CSA and other issues that *are* covered by the express warranty. (See Rao Decl., Ex. B at Section 10 ["THE VEHICLE'S LIMITED WARRANTY does not cover the Connected Services. . .".])

The second paragraph on the first page of the "Connected Services Agreement" expressly defines "Connected Services" as "the vehicle technology and service functions received as part of the enrollment in a Bluelink or Genesis Connected Services Service Plan, including but not limited to Remote Service Activation, Stolen Vehicle Recovery, Enhanced Roadside Assistance, SOS/ACN, POI Send-to-Car and Destination Search, Digital Key 2.0, Verizon Hotspot, [and] Over the Air software updates." (Rao Decl., Ex. B, p. 1.) The CSA and its arbitration provisions do not extend to the claims made here, which relate to "electrical, structural, engine, emission, and suspension system defects." (Complaint, ¶10.)

Even if the Court were to conclude that the Bluelink arbitration agreement included the Song-

Beverly claims at issue here, plaintiff shows a valid defense because the provision is unconscionable, as discussed below.

2) Unconscionability

Plaintiff bears the burden to show that the arbitration agreement in the CSA is unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party. (*Id.* at 125.) To prevail on an unconscionability defense, a party must establish both a procedural element and a substantive element. (*Ibid.*) The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. (*Ibid.*) Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided. (*Ibid.*)

a) Procedural Unconscionability

As to procedural unconscionability, plaintiff presents little evidence as to the negotiation and formation of the contract (plaintiffs indicate the dealer representative said the vehicle was “already warranted under Defendant’s express warranty”), but Hyundai’s own evidence is on point. The Rao declaration describes a process whereby plaintiff agreed to the CSA in the presence of a dealer employee on a device that was likely handheld, under circumstances that do not appear likely to have provided the “ample opportunity” for review mentioned by Rao. (Rao Decl., ¶¶8-12.) Plaintiff was required to review over ten pages of small print, likely on a small screen, in order to view the arbitration clause here. The title of the CSA suggests its scope only pertains to the tech services, but in fact covers the entire vehicle. These circumstances demonstrate surprise.

Further, the CSA is a classic adhesion contract since plaintiff would have had little to no opportunity to negotiate the terms. Rao states that “many customers” instead “choose to deny acceptance.” The consumer must merely click a check box next to the following statement: “I have read and agree to the Blue Link Terms & Conditions.” (Rao Decl., ¶¶10-11, Ex. C.) The statement does not suggest the enrollee is agreeing to arbitrate disputes arising from the vehicle warranty.

Finally, the arbitration provisions, purportedly covering all disputes stemming from the warranty or the CSA, are near the end of the agreement, which is over 10 pages long.

Based on the adhesive nature of the agreement and element of surprise arising from the expansive scope of the contract, the CSA is highly procedurally unconscionable. The high degree of procedural unconscionability leads to a lower standard for substantive unconscionability for the Court to deny enforcement. This element is examined below.

b) Substantive Unconscionability

In support of the substantive unconscionability argument, plaintiff’s opposition points to terms that would purportedly contradict the Song Beverly Act’s asymmetrical attorneys’ fee recovery provisions, which favor plaintiffs. Plaintiff also notes the arbitration agreement’s shortened statute of limitations which requires “ANY CLAIM AGAINST HYUNDAI OR GENESIS (OR ANY OTHER THIRD PARTY BENEFICIARY)” to be brought within “ONE YEAR AFTER THE CLAIM ARISES.”

Hyundai, in its reply, minimizes any effect of the phrasing that would eliminate the Song-Beverly’s allowance for asymmetrical attorney fee recovery. Hyundai also attempts to distinguish the

cases cited by plaintiff relating to shortened statutes of limitations.

As to fees, while Hyundai does not view the issue as particularly problematic, the Court notes the CSA limits Hyundai's liability to \$500 or the total amount paid for connected services during the 12 months preceding a claim, "UNDER ANY THEORY (INCLUDING BUT NOT LIMITED TO FRAUD, MISREPRESENTATION, BREACH OF CONTRACT, PERSONAL INJURY, OR PRODUCTS LIABILITY)." (Rao Decl., Ex. B, ¶11E ["THE MAXIMUM AGGREGATE LIABILITY OF HYUNDAI"].) The fee provision, as well as the aforementioned limitation on liability, are substantively unconscionable in this context.

As to the statute of limitations, the Court finds plaintiff's authorities persuasive. In *Fisher v. MoneyGram International, Inc.* (2021) 66 Cal.App.5th 1084, the appellate court held that a provision reducing a four-year statute of limitations to one-year was substantively unconscionable. Song-Beverly Act warranty claims are subject to a four-year statute of limitations. (*Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 213-215.) Shortening the limitations period to one year significantly limits the period to bring claims. Thus, the facts here are analogous to the facts at issue in *Fisher*.

Further, in *Gostev v. Skillz Platform, Inc.* (2023) 88 Cal.App.5th 1035, the court pointed to several nonmutual terms, "including, most notably, the requirement that only the plaintiff arbitrate his claims against the defendant, in its determination that the agreement was substantively unconscionable." The comparison is apt. Here, the CSA only limits Hyundai's monetary liability and only limits the time limits on claims brought by plaintiff.

Both the shortened one-year statute of limitations provision, as well as the fee recovery provisions and one-sided limitation on liability cause the CSA to be permeated by substantively unconscionable terms.

Accordingly, the CSA's arbitration agreement is unconscionable and incapable of severance.

11. 9:00 AM CASE NUMBER: L23-06585

CASE NAME: ALEXANDER DRAKE VS. GURPREET CHANDHOKE

***HEARING ON MOTION IN RE: NTC AND MTN TO AMEND JUDGMENT TO ADD GURPREET CHANDHOKE ET AL AS ADDITIONAL DEFT AND ASSIGNMENT ORDER**

FILED BY:

TENTATIVE RULING:

The unopposed motion of Assignee of Record George Sommers to Amend Judgment to Add Gurpreet Chandhoke aka Gurprit Chandhoke as an additional debtor is **denied without prejudice**. There does not appear to be a proof of service of this motion.

12. 9:00 AM CASE NUMBER: MSC22-00069

CASE NAME: ABBUSHI VS AHLUWALIA

***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL**

FILED BY:

TENTATIVE RULING:

ALL PARTIES TO APPEAR FOR TRIAL SETTING CONFERENCE AT 8:30 A.M.

The unopposed motion of attorney **ANTHONY P. SERRITELLA** to be relieved as counsel for **WALIA ENTERPRISES, LLC** is granted.

Cal. Rules of Court Rule No. 3.1362 and Cal. Code of Civ. Proc. 284(1) and (2) sets forth the standard and procedure to be relieved as counsel of record. The Code permits an attorney to be changed at any time before or after judgment or final determination upon the consent of both client and attorney, or upon order of the court, upon the application of either client or attorney, after notice from one to the other.

WALIA ENTERPRISES, LLC's Counsel has complied with the provisions of this rule and statute providing notice to client and supporting his motion with a declaration articulating

the reasons for withdrawal.

After reviewing the papers and arguments submitted by counsel and after considering and weighing the prejudice to both sides, and reviewing the relevant statutory and decisional authority, the Court finds that there is good cause to grant the Motion of **WALIA ENTERPRISES, LLC'S** counsel to be Relieved as Counsel of Record. This motion is Granted.

WALIA ENTERPRISES, LLC MUST TAKE NOTICE THAT AN LLC CANNOT APPEAR IN COURT EXCEPT THROUGH AN ATTORNEY.

The Court will execute the Proposed Order Granting Attorney s Motion to be Relieved as Counsel (Judicial Council Form MC-053) as submitted. The withdrawal is effective upon **ANTHONY P. SERRITELLA** filing the proof of service of signed order on the client and all parties.

13. 9:00 AM CASE NUMBER: MSN20-1093
CASE NAME: SWIFT FINANCIAL VS KATHMANDU SF CRAFT, ET AL.
***HEARING ON MOTION IN RE: ASSIGNMENT OF ORDER**
FILED BY: SWIFT FINANCIAL, LLC
TENTATIVE RULING:

The unopposed motion for an Assignment Order is granted. The order shall become effective upon service of entry of this order upon Judgment Debtors.

14. 9:00 AM CASE NUMBER: N25-0754
CASE NAME: VANTAGE POINT LAW, INC. VS. DAN MIERZWA
HEARING ON DEMURRER TO: PETITIONER'S VERIFIED PETITION FOR WRIT OF MANDATE
FILED BY: RAINS LUCIA STERN ST. PHALLE & SILVER, PC
TENTATIVE RULING:

On the Court's own motion, this hearing is continued to August 14, 2026 at 9:00 am in this Department.

15. 9:00 AM CASE NUMBER: N25-0754
CASE NAME: VANTAGE POINT LAW, INC. VS. DAN MIERZWA
*HEARING ON MOTION IN RE: STRIKE PORTIONS OF PETITION AND MEMORANDUM OF POINTS
AND AUTHORITIES
FILED BY:
TENTATIVE RULING:

Please see Line 14.

16. 9:00 AM CASE NUMBER: N25-0754
CASE NAME: VANTAGE POINT LAW, INC. VS. DAN MIERZWA
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: MIERZWA, DAN M.
TENTATIVE RULING:

Please see Line 14.

17. 9:00 AM CASE NUMBER: N25-0754
CASE NAME: VANTAGE POINT LAW, INC. VS. DAN MIERZWA
HEARING ON DEMURRER TO: TO PETITION FOR WRIT OF MANDATE
FILED BY:
TENTATIVE RULING:

Please see Line 14.

18. 9:00 AM CASE NUMBER: N25-0754
CASE NAME: VANTAGE POINT LAW, INC. VS. DAN MIERZWA
HEARING ON DEMURRER TO: 1ST AMENDED PETITION
FILED BY:
TENTATIVE RULING:

Please see Line 14.

19. 9:00 AM CASE NUMBER: N25-0754
CASE NAME: VANTAGE POINT LAW, INC. VS. DAN MIERZWA
*HEARING ON MOTION IN RE: STRIKE PORTIONS OF PETITIONERS FIRST AMENDED PETITION FOR
WRIT OF MANDATE
FILED BY:
TENTATIVE RULING:

Please see Line 14.

Discovery Law & Motion

20. 9:01 AM CASE NUMBER: C23-02335

CASE NAME: KROPP V SRVUSD

***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER AMENDED RESPONSES TO PLTFs
REQUEST FOR PROD OF DOCS, SET 1**

FILED BY: KROPP, SPENCER

TENTATIVE RULING:

Plaintiffs seek an Order Compelling Further Responses to Plaintiffs' Request for Production of Documents, Set One, Nos. 7, 8, 9, 10, and 21 to Defendant SAN RAMON VALLEY UNIFIED SCHOOL DISTRICT, in their motion filed December 4, 2025. Plaintiffs also seek an award of monetary sanctions in the amount of \$3486.00.

After consideration of the moving papers, papers in opposition and in reply, the court rules as follows:

[1] Defendant SAN RAMON VALLEY UNIFIED SCHOOL DISTRICT shall serve copies of all written or recorded statements by Austin Lockrem responsive to Request for Production of Documents, Set One, Nos. 7, 8, 9, 10, and 21 within 10 days of service of notice of entry of this order.

[2] The court finds Defendant SAN RAMON VALLEY UNIFIED SCHOOL DISTRICT acted with substantial justification and declines to award sanctions.